



April 25th, 2016.

Director Overview

Fiscal year 2015-16:

A successful year which saw overall Revenue grow by 56% (from US\$ 28.979 Mn to US\$ 45.191 Mn) with growth across all three verticals. This includes our traditional bulk business and the Consumer Div. launched last year. The continued growth helps consolidate your Company as a reliable partner and supplier of Pharmaceuticals and generate considerable goodwill in the market.

We have been able to grow the API by 27% (US\$ 6.858 Mn to US\$ 8.679 Mn), PFI by 92% (US\$ 7.675 Mn to US\$ 14.755 Mn) and FDs by 40% (US\$ 14.133 Mn to US\$ 19.844 Mn). The growth has come in spite of changing business scenario for your Company. While some of the traditional OTC FD sales to key customers were hit due to our earlier decision to move away from partnership, growth came in through increase in other products, especially Metformin sales and some reorganizing the business for PFIs.

Our main focus continued to be on FDs and its share remained high at 46% of sales, followed by PFI at 34% and API at 20%.

The Consumer Div. incubation made some key strides in getting its first business with key retailers like CVS. Overall Revenue was US\$ 0.683 Mn, still taking small steps in its growth. We expect this situation to continue for this year and into next year while more key business is secured and we attain some critical mass for each product. Achieving economies of scale would be the key to turn positive for this Div. Significant efforts have been employed to ensure this Div. moves into a fast growth phase.

Heritage Pharmaceuticals Inc., Perrigo Inc., Sciegen Pharmaceuticals Inc., Amneal Pharmaceuticals Inc., Ingenus Pharmaceuticals, AAA Pharmaceuticals, PL Developments and Sun Pharmaceutical Industries Inc. combined for an 82% of the overall business to contribute US\$ 37.202 Mn.

Our business development efforts are robust with an active pipe-line. We expect growth with these key customers and other customers to grow significantly over the next few years.

Sincerely,

Manikantan Swaminathan
President
Granules USA Inc.

GRANULES USA, INC.
REVIEW REPORT
APRIL 1, 2015 to March 31, 2016

Prepared by:

CHUGH CPAs, LLP
Accountancy Corporation
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INDEPENDENT ACCOUNTANTS' REVIEW REPORT

To The Board of Directors and Stockholders
of Granules USA Inc.

We have reviewed the accompanying financial statements of Granules USA, Inc (a Delaware corporation), which comprise the balance sheet as of March 31, 2016, and the related statements of income and statement of changes in stockholders' equity and cash flows for the year then ended, and the related notes to the financial statements. A review includes primarily applying analytical procedures to management's financial data and making inquiries of company management. A review is substantially less in scope than an audit, the objective of which is the expression of an opinion regarding the financial statements as a whole. Accordingly, we do not express such an opinion.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement whether due to fraud or error.

Accountant's Responsibility

Our responsibility is to conduct the review engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. Those standards require us to perform procedures to obtain limited assurance as a basis for reporting whether we are aware of any material modifications that should be made to the financial statements for them to be in accordance with accounting principles generally accepted in the United States of America. We believe that the results of our procedures provide a reasonable basis for our conclusion.



Accountants' Conclusion

Based on our review, we are not aware of any material modifications that should be made to the accompanying financial statements in order for them to be in accordance with accounting principles generally accepted in the United States of America.

Supplementary Information

The supplementary information included in Schedules A – Cost of Goods Sold and Schedule B – Selling, General and Administrative Expenses are presented for purposes of additional analysis and is not a required part of the basic financial statements. The information is the representation of management. We have reviewed the information and, based on our review, we are not aware of any material modifications that should be made to the information in order for it to be in accordance with accounting principles generally accepted in the United States of America. We have not audited the information and, accordingly, do not express an opinion on such information.

Chugh CPAs LLP

Chugh CPAs LLP
Santa Clara, CA
April 27, 2016

GRANULES USA INC
BALANCE SHEET
AS OF MARCH 31, 2016



ASSETS

CURRENT ASSETS

Cash in Bank	\$ 2,758,299
Inventory	9,660,825
Accounts Receivable	10,586,111
Advances and Prepaid Assets	<u>31,183</u>

TOTAL CURRENT ASSETS 23,036,418

PROPERTIES & EQUIPMENT

Properties & Equipment at cost	209,192
Less: Accumulated Depreciaton	<u>(57,815)</u>

TOTAL PROPERTY & EQUIPMENT 151,377

INTANGIBLE ASSETS

Trademark	4,474
Less: Accumulated amortization	<u>(3,491)</u>

TOTAL INTANGIBLE ASSETS 983

OTHER ASSETS

Deposits	<u>37,087</u>
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TOTAL OTHER ASSETS 37,087

TOTAL ASSETS \$ 23,225,865

GRANULES USA INC
BALANCE SHEET
AS OF MARCH 31, 2016



LIABILITIES AND STOCKHOLDERS' EQUITY

CURRENT LIABILITIES

Accounts Payable	\$ 21,159,757
Accrued Expenses	13,859
Accrued Payroll	83,926
Provision for Tax	<u>82,783</u>

TOTAL CURRENT LIABILITIES 21,340,325

OTHER LIABILITIES

Accrued Interest	26,608
Loan Payable	1,322,000
Deferred Tax Liability	<u>29,113</u>

TOTAL OTHER LIABILITIES 1,377,721

TOTAL LIABILITIES 22,718,046

STOCKHOLDERS' EQUITY

Authorized and issued capital	
Common Stock: \$0.10 Par Value, 2,500,000 Shares Authorized, 700,000 Issued and Outstanding	70,000
Additional Paid In Capital	180,000
Retained Earnings	<u>257,819</u>

TOTAL STOCKHOLDERS' EQUITY 507,819

TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY \$ 23,225,865

GRANULES USA INC
STATEMENT OF INCOME
FOR YEAR ENDED MARCH 31, 2016



REVENUE

Operating Revenues	\$ 45,191,636
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TOTAL REVENUE	45,191,636
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COST OF GOODS SOLD

Cost of Goods Sold (Schedule A)	<u>(40,540,781)</u>
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TOTAL COST OF GOODS SOLD	<u>(40,540,781)</u>
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GROSS PROFIT	4,650,855
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OPERATING EXPENSES

Selling, General & Administrative Expenses (Schedule B)	<u>(4,300,399)</u>
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TOTAL OPERATING EXPENSES	(4,300,399)
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OTHER INCOME

Other income	1,952
Interest Income	<u>4,500</u>

TOTAL OTHER INCOME	<u>6,452</u>
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NET INCOME BEFORE TAXES	356,908
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INCOME TAX (EXPENSE) (Note 9)	<u>(112,482)</u>
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NET INCOME	<u><u>\$ 244,426</u></u>
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GRANULES USA INC
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
FOR YEAR ENDED MARCH 31, 2016



	Common Stock		Additional Paid		Retained	Total
	No. of Units	Amount	in Capital		Earnings	Stockholders' Equity
BALANCE as of March 31, 2015	700,000	\$ 70,000	180,000	\$	13,393	\$ 263,393
Net Income					244,426	244,426
BALANCE as of March 31, 2016	700,000	\$ 70,000	180,000	\$	257,819	\$ 507,819

GRANULES USA INC
STATEMENT OF CASH FLOWS
FOR YEAR ENDED MARCH 31, 2016



CASH FLOWS FROM OPERATING ACTIVITIES

Net Income	\$ 244,426
Provided by Operating Activities:	
Depreciation	33,119
Amortization	298
(Increase) decrease in operating assets:	
Accounts Receivable, net	(596,475)
Inventory	(1,756,914)
Prepaid Assets	(4,906)
Other Assets	
Loan Receivable	500,000
Increase (decrease) in operating liabilities:	
Accounts Payable	2,602,307
Accruals and Advances	48,664
Provision for Current taxes	82,783
Deferred tax liabilities	29,113
Net Cash provided by Operating Activities	937,990

CASH FLOWS FROM INVESTING ACTIVITIES

Purchase of Fixed asset	(66,423)
Net Cash Used in Investing Activities	(66,423)

CASH FLOWS FROM FINANCING ACTIVITIES

Loan Payable	1,322,000
Net cash provided by financing activities	1,322,000

NET DECREASE IN CASH 2,437,993

CASH, beginning of year 320,306

CASH, end of year \$ 2,758,299

Note 1 - Nature of Business

Granules USA, Inc (“Granules” and “the Company”) was incorporated on March 5, 2003 in Delaware. Granules is a wholly owned subsidiary of Granules India Limited) “GIL”, a company incorporated in India.

Granules acts as an exclusive front-end value chain for GIL and develop markets for the products manufactured by GIL. The business of GIL comprises of manufacture and sale of pharmaceutical products.

Note 2 - Summary of Significant Accounting Policies

Basis of Accounting

The Company uses the accrual method of accounting in accordance with accounting principles generally accepted in the United States of America.

The accompanying financial statements for the period April 1, 2015 to March 31, 2016 are prepared in accordance with the Statements on Standards for Accounting and Review Services, issued by the American Institute of Certified Public Accountants.

Use of Estimates

The preparation of financial statements and related disclosures in conformity with generally accepted accounting principles in the United States requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and revenues and expenses during the period reported. Actual results could differ from those estimates. Estimates are used in accounting for, among other things, unbilled receivables, and allowances for uncollectible receivables, depreciation and taxes.

Cash

Cash consists of cash in bank account.

Accounts Receivable

Accounts Receivables are recorded at the invoiced amount. Accounts receivables are uncollateralized customer obligations and are stated at the amount billed. Payments of accounts receivables are allocated to the specific invoices identified on the customer’s remittance advice. The Company extends credit to its customers in the normal course of business. The company performs ongoing evaluation of its existing receivables and evaluation of periodic ageing of the accounts to estimate

GRANULES USA, INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2016



allowance for potential credit losses. As of March 31, 2016 the accounts receivable balance is \$10,586,111.

Losses are written off when determined to be uncollectible. The Company has written off bad debts of \$ 491,819 for the period April 1, 2015 to March 31, 2016.

Property and Equipment

Property and equipment are stated at cost. Depreciation is provided principally on a straight-line method over the estimated useful lives of the assets. Estimated useful lives are as follows:

Computers	3 to 5 years
Equipment	3 to 7 years
Furniture and fixtures	3 to 7 years
Vehicles	5 years
Improvements	15 years

When assets are retired or otherwise disposed of, the cost and related accumulated depreciation is removed from the accounts and the resulting gain or loss on disposal is reflected in the financial statements. Expenditures for major renewals and betterments that extend the useful life of the property and equipment are capitalized. Expenditures for minor repairs and maintenance are charged to expense as incurred.

Intangible assets

Intangible assets consist of Patents and Trademarks. Intangible assets are carried at cost less accumulated amortization. Amortization is computed over the estimated useful live of the respective assets, generally fifteen to twenty years on a straight line basis. Estimated useful lives of the intangible assets are 15 years.

Impairment of Long-lived Assets

The Company reviews the long-lived tangible and intangible assets for impairment whenever events or changes in circumstances indicate that the carrying values may not be recoverable from the estimated future cash flows expected to result from the asset's use and eventual disposition. If such review indicates the carrying amount of an asset is not recoverable, the carrying amount is reduced to its estimated fair value and the reduction is recognized as a loss on asset impairment. Fair value of long-lived tangible and intangible assets is estimated by management based on reasonable and supportable assumptions. No impairment losses were recorded for the year ended March 31, 2016.

Leases

The Company accounts for the lease of its office space as an operating lease. The related rentals are charged to expense based on the lease agreement in the period it is incurred.

Revenue and Cost Recognition

Customers of the Company consist primarily of large pharmaceutical companies. Revenue from product sales is recognized when merchandise is shipped to customers and all the four of the following criteria are met: (i) persuasive evidence that an arrangement exists; (ii) delivery of the products has occurred; (iii) the selling price is both fixed and determinable and; (iv) collectability is reasonably probable.

Provisions for sales discount, damaged product returns, exchanges of expired products are established as a reduction of product sales revenue at the time such revenues are recognized. Certain charge backs and rebate programs extended to customers pursuant to the industry standards, are recognized as a reduction from product sales revenues at the time of shipment.

Research and development

Research and development costs are expensed when incurred. Expenditure for obtaining regulatory approvals and registration of products is charged to revenue when incurred. During the period April 1 2015 to March 31 2016, the Company incurred \$55,724 for expenses on Research.

Income Taxes

The Company accounts for income taxes in accordance with FASB ASC No. 740 (formerly SFAS No. 109) "Accounting for Income Taxes", which requires an asset and liability approach to financial accounting and reporting of income taxes. Deferred income tax assets and liabilities are computed annually for differences between the financial statement and tax basis of assets and liabilities that will result in taxable or deductible amounts in the future based on the enacted tax laws and rates applicable to the periods in which the differences are expected to affect taxable income.

Recent Accounting Pronouncements

In May 2014, FASB issued Accounting Standards update ("ASU") No. 2014-09, *Revenue from Contracts with Customers*. ASU No. 2014-09 provides comprehensive guidance on the recognition of revenue from customers arising from the transfer of goods and services. The ASU also provides guidance on accounting for certain contract costs, and requires new disclosures. ASU No. 2014-09 is

GRANULES USA, INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2016



effective for annual reporting periods beginning after December 15, 2017. Early adoption is permitted only for annual reporting periods beginning after December 15, 2016. The Company is evaluating the effect of the ASU on its financial statements.

Subsequent Events

The Company has evaluated subsequent events through April 27, 2016, which is the date the Company's financial statements were issued and found no material subsequent event occurred that requires disclosure.

Note 3 – Inventories

Inventories consist mainly of products purchased from GIL, and are stated at cost plus freight charges. As of March 31, 2016 the Inventory is \$ 9,660,825.

Note 4 – Property and Equipment

As of March 31, 2016, property and equipment, net consist of the following:

Automobile	\$	22,000
Furniture and Fixtures		34,100
Leasehold improvements		46,494
Pharmaceutical equipment		65,308
Computer equipment		41,290
(originally other equipment)		
Less: Accumulated Depreciation		<u>(57,815)</u>
Net Book value	\$	<u>151,377</u>

Depreciation expense for the year ended March 31, 2016 totaled to \$ 33,119

Note 5 – Intangibles

As of March 31, 2016, net Intangibles consist of the following:

Trademarks	\$	4,474
Less: Accumulated Amortization		<u>(3,491)</u>
Net Book value	\$	<u>983</u>

Amortization expense for the year ended March 31, 2016 totaled \$ 298.

GRANULES USA, INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2016



Note 6 – Concentration in Risk

Cash on deposit with financial institutions is insured by the Federal Deposit Insurance Corporation up to \$250,000 for all deposit accounts with each financial institution.

Accounts Receivable and Sales

The Company performs ongoing credit evaluations of its customers and maintains allowances for potential uncollectible accounts as deemed necessary. The Company generally does not require collateral to secure its accounts receivable. It estimates credit losses based on management's evaluation of historical experience and current industry trends. Although the Company expects to collect amounts due, actual collections may differ from the estimated amounts.

The Company's revenues and accounts receivable from its major customers as of March 31, 2016 are as follows:

<u>Clients</u>	Revenue	Accounts Receivable
	<u>% of Total</u>	<u>% of Total</u>
A	28%	36%
B	15%	6%
C	10%	10%

Note 7 - Related Party Transactions

The company has purchased pharmaceutical products from its related party Granules India Limited, India. Details of the transactions between the company and its related parties for the year ended March 31, 2016 are as follows.

Granules India Limited	Amount
Cost of Products	\$ 41,003,604
Accounts Payable	21,103,516
Sales	117,042
Accounts Receivable	117,042
Granules India Limited	Amount
Loans and advances	\$ 1,300,000
Accrued Interest	26,608

GRANULES USA, INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2016



Note 8 – Commitments under Operating Lease

The Company leases the premises under the long term operating lease arrangement. The Company entered into a lease for the new premises on November 1, 2014 for a lease period of 88 months. During the year, the rent expense for office space was \$144,170, which included \$76,799 rent for an apartment in New York City.

The future basic lease payments under this operating lease agreement are as follows:

Period	Annual Rate
April 2016 - October 2016	\$ 44,209
November 2016- October 2017	77,400
November 2017- October 2018	79,012
November 2018- October 2019	80,625
November 2019- October 2020	82,238

Note 9 - Income Taxes

The Company accounts for income taxes under the provisions of FASB ASC 740, “Accounting for Income Taxes”. Under ASC 740, deferred taxes are required to be classified based on the financial statement classification of the related assets and liabilities which give rise to temporary differences. Deferred taxes result from temporary differences between the financial statement carrying amounts and the tax bases of assets and liabilities.

All of the income before tax as shown in the statement of income for the period ended March 31, 2016 is derived in the United States.

The components of income tax expense relating to earnings from operations are as follows:

		03/31/2016
<u>State</u>		
Current	\$22,579	
Deferred	4,330	\$26,909
<u>Federal</u>		
Current	\$60,204	
Deferred	24,783	84,987
Taxes, Others		<u>586</u>
Total		<u>112,482</u>

GRANULES USA, INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2016



The components of deferred tax liability as on March 31, 2016 are as follows:

<u>Depreciation</u>	
Federal	\$ 24,783
State	<u>4,330</u>
Total	<u>\$ 29,113</u>

Note 10 – Stockholder’s Equity

The Company had an authorized capital of 2,500,000 shares of its common stock, at \$0.10 par value per share at the beginning of the year. The Company had 700,000 common stocks issued and outstanding as of March 31, 2016. There were no shares issued during the year ended March 31, 2016.

Note 11 – Contingencies

There are no pending legal actions, including arbitrations, class actions and other litigation, arising in connection with the Company’s activities as IT consultants. Legal reserves are established in accordance with FASB ASC 450 (formerly known as SFAS No. 5), “*Accounting for Contingencies*”. Once established, reserves are adjusted when there is more information available or when an event occurs requiring a change. There are no legal reserves in the statement of financial condition as of March 31, 2016.

GRANULES USA INC
SCHEDULE A
COST OF GOODS SOLD
FOR YEAR ENDED MARCH 31, 2016



Beginning Inventory	\$ 7,903,911
Purchases	41,579,285
Demurrage	56,504
Freight	253,226
Customs	152,850
Storage	255,830
Less: Ending Inventory	(9,660,825)
TOTAL COST OF GOODS SOLD	<u><u>\$ 40,540,781</u></u>

GRANULES USA INC
SCHEDULE B
SELLING, GENERAL AND ADMINISTRATIVE EXPENSES
FOR YEAR ENDED MARCH 31, 2016



Amortization	298
Bank Service Charges	2,322
Bad Debts Expense	491,819
Commissions	37,164
Destroyed Material	18,890
Dues and Subscriptions	4,365
Depreciation	33,119
Employees Benefits	14,632
Gift	8,320
Insurance	184,097
Interest Expense	27,606
Licenses and Permits	7,708
Legal and Professional Fees	507,147
Marketing	269,900
Office Expenses	3,287
Postage/Shipping	297,202
Payroll Processing Fees	8,962
Product Testing	55,865
Regulatory	72,496
Rent	178,228
Repairs and Maintenance	12,247
Scrap	58,318
Research Expenses	55,724
Salaries	1,583,533
Seminars and Training	1,319
Software	9,309
Supplies	51,670
Payroll Taxes	105,559
Telecommunication	19,405
Travel	177,720
Miscellaneous	2,171
TOTAL SELLING, GENERAL AND ADMINISTRATIVE EXPENSES	4,300,399
